Market Plan

Marketing: Functions and Strategies

OBJECTIVES

- 1. Identify and describe the marketing functions that must be addressed by all new ventures.
- 2. Describe an expanded view of a company's "product."
- 3. Explain how distribution is part of marketing infrastructure.
- 4. Identify and discuss the categories of promotions,
- 5. Address the concept of pricing with respect to new ventures.
- 6. Describe the primary growth strategies employed by entrepreneurs.
- 7. Explain the major elements of a marketing plan.

INTRODUCTION

- Although market research often points the way toward new opportunities, it is a strong marketing strategy that leads to success.

- Obviously, there are many other things to do in a new venture, such as setting up the business, acquiring inventory, staffing the enterprise, and obtaining financial resources.

- Marketing activities, however, mobilize an enterprise, changing it from an elegant idea to a viable business.

INTRODUCTION

- This change takes place through a conscious effort to solidify an entrepreneur's ideas into a marketing plan with a clear marketing strategy.
- The plan must be in place prior to start-up, but it is subject to change as competition occurs and the company grows.
- If market research is accomplished with care, information will be at hand for making good marketing decisions.
- This part builds on marketing research, described in the first part of this handout, to introduce marketing responsibilities and marketing strategies specific to new ventures.

FUNDAMENTALS OF MARKETING

- Marketing consists of a multitude of activities that include decisions about the company's products or services, pricing policies, promotions, and methods of distribution.
- The ultimate goal is to facilitate exchanges between an enterprise and its customers. This exchange relationship exists as one party becomes willing to "give something of value" to "receive something of value" from the other party.
- Marketing is the process of conceiving that exchange, and then accomplishing the tasks necessary to deliver the goods or services in a manner that satisfies customers and meets business objectives.

Marketing Functions

- Marketing is explained in terms of four general activities, and although most business students have studied these before, they are important to emphasize because they capture the essence of marketing.

- The four activities concern decisions about the firm's ***product,* its *price***, methods of ***promotion***, and how products are ***distributed*.**

Marketing Functions

- Brief definitions of these activities are as follows:
- *Product:* Used as a catchall term, **product** includes physical objects or services being sold, together with packaging, image, brand name, and warranty.
- In addition, a product includes physical attributes that influence consumers' perceptions, such as colors, shapes, sizes, and materials.
- A product can also relate to the "business concept," such as fast-food franchising.

Price

- *Price:* From a consumer's viewpoint, **price** is the monetary unit required for a purchase
- from an entrepreneur's viewpoint, it is the unit of income.
- Prices communicate information about value, image, and competition, and they influence decisions about distribution, market segmentation, product characteristics, and related services. Pricing policies are key factors in forecasting.
- In turn, all these factors influence pricing decisions. For example, prices convey something about image, but the image a store has will convey something about its prices.

Promotion

- The act of communication that provides consumers with information about a company's products, its services, or the venture itself is **promotion,** and it is through promotional activities that the venture attracts consumers.
- They include advertising, personal selling, direct marketing, public relations, and other creative methods of bringing buyers and sellers together.

Distribution

- Often referred to as the *placement* function, **distribution** is concerned with how products or services are made available to customers.

- Distribution can mean the physical channels of transporting products from manufacturers to end users, warehousing, wholesaling, and retailing.

- It can also relate to marketing systems such as catalogs, telemarketing, franchising, and computer-based network markets.

Marketing Strategy

- A **marketing strategy** is a consciously formulated plan that describes how the new venture will compete.
- It focuses the enterprise on a target market to fill a gap or create a niche.
- A well-articulated marketing strategy provides guidelines for the entrepreneur concerning ***expected results, allocation of resources, responsibilities for marketing,*** **and** ***ways in which the enterprise will be controlled.***

Marketing Strategy

- **Expected results** are expressed in sales forecasts and operating budgets, but more important; they constitute the entrepreneur's *strategic marketing objectives*.
- An **allocation of resources** reflects what a firm has to use and the tactics employed to achieve results.
- **Responsibilities** are those activities required to implement a marketing plan.
- **Control** issues concern methods of feedback necessary to track performance. Feedback provides planning information for future decisions.

The Marketing Plan

- A **marketing plan** solidifies the marketing strategy by defining customers, sales forecasts, and marketing objectives.
- Consequently, the marketing plan synthesizes market research and the entrepreneur's strategy into a blueprint for action.
- The plan is implemented through a **marketing program,** which addresses the marketing activities summarized earlier decisions regarding product or service characteristics, pricing, promotional activities, and methods of distribution.

PRODUCT CONCEPTS

- A product is anything tangible or intangible, favorable or unfavorable, that a consumer attributes to a purchase.
- This includes the form, function, psychological utility, and benefits, real or perceived, in products and services.
- Marketing niches are developed around these "packages" of attributes.
- It is important to recognize these attributes and the ways, in which consumers perceive them within two broad classifications: *consumer goods* and *industrial goods*.

Consumer Goods

- **Consumer goods** are bought by individuals for personal use, and often consumers will be encouraged by distribution methods that make purchasing convenient and enjoyable.
- They will want products packaged, formed, colored, and priced to reinforce their individual perceptions of value. Consumer behavior is predicated primarily on the type of product being sold, but the total package of product attributes determines consumer perceptions.
- It is useful to further differentiate of products as *convenience, shopping,* or *specialty* goods. We address each of these separately.

Convenience Products

- Well-understood items that most buyers need little information about are known as *convenience products*,
- They are *commodities* in the sense that there are many substitutes, prices are usually undifferentiated, and little time is spent by consumers to do comparison shopping.
- Examples include soft drinks, gasoline, potato chips, toothpaste, chewing gum, and cereals.

Convenience Products

- *Brand* recognition is often the only way to differentiate commodities from one another, so manufacturers such as Nestle, Ghana Ltd will spend a great deal of money on national advertising, hammering home the brand image.
- At the retail level, very little promotional effort will be exerted, and prices among competing brands will be similar.

Shopping Products

- Items that engage a consumer's mind in active planning are called *shopping products*.
- Consumers will consciously think about their purchases. They will make comparisons, consult consumer buying guides, and be significantly influenced by promotions.
- Shopping products include mobile phones home appliances, microcomputers, furniture, clothing, and sports equipment. Major purchases such as automobiles and houses also fall into this category.

Shopping Products

- Product features become extremely important to consumers, but quite often prices are not directly comparable to those of substitutes.
- Although there may be many choices, (e.g., many brands of mobile phones), most consumers do not view shopping goods as having undifferentiated substitutes.
- Product quality, reliability, service after sale, warranties, access to repair facilities, reputation of retailers, credit availability, packaging, and many other factors augment the product's image in addition to its function.

Shopping Products

- Shopping products tend to have larger margins and are sold through fewer outlets than convenience goods.
- Larger margins help offset lower sales volumes and heavier expenses for promotions, and it is in this category of products that entrepreneurs have been most successful because consumers react to unusual products or those distributed and promoted in unusual ways.
- When the microcomputer market began to "shake out," for example, it was because consumers became interested in clones, PCs with unusual attributes or software, and computers with price advantages.

Specialty Products.

- Items with unique characteristics that few consumers consider buying - or that consumers consider buying only rarely - are considered specialty products.
- A luxury car, a diamond jewelry set, or a private airplane will be beyond most of our means, but when consumers decide to buy one of these items, they will search intensely to locate a satisfactory seller.
- Consumers do not typically engage in comparative shopping or scan advertisements for good prices. They are concerned with quality. Substitutes will not do, and consumers expect exquisite service. From the entrepreneur's viewpoint, inventory is expensive and sold with very high margins, and those who can establish specialty niches do extremely well.

Specialty Products.

- Top-notch restaurants, world-class vacation resorts, prominent art and antique dealers, luxury house developers, and investment jewelers are among those in specialty markets.
- A specialty product, however, is often a matter of perception; it is viewed relative to consumer incomes and their patterns of purchasing. A world-class vacation for instance, may be a once-in-a-lifetime event for most of us, but for the "rich and famous," it is a seasonal getaway. Therefore, one's target market only partially defines the product.

Other Consumer Products

- Products not easily classified into one of the three categories include those things that are often essential but do not constitute a motivated purchasing effort by consumers.
- For example, eventually most of us will need the services of mortuaries. We will buy caskets, cemetery plots, or perhaps some unusual program, such as a burial at sea. We try to avoid these purchases, just as we avoid purchasing insurance, emergency road repair services, and estate planning services.

Other Consumer Products

- There are other products that may not be essential, depending on one's viewpoint, yet fall into a similar "avoidance" pattern for purchasing. These include, for example, encyclopedias, investment seminars, and preventive dentistry.
- Some of these products or services are not marketed; there is little price competition; and their enterprises exist with little or no advertising. Mortuary services are examples. At the other extreme, some require aggressive promotion and are price sensitive. Life insurance policies are examples

Industrial Products

- Industrial products are sold to other organizations as raw materials, equipment, component parts, process materials, supplies, and services.
- Marketing of industrial products is called *institutional sales* and there are five categories of industrial products: *direct materials, indirect materials, capital equipment, contracted services,* and *MRO supplies*. (MRO stands for maintenance, repair, and operating.)

Direct Materials.

- Between 30 and 50 percent of a manufacturer's total overhead consists of *direct materials*, including raw materials, sub-assemblies, and component parts used in production.
- When we think of raw materials, we think of steel for cars, plastic resins for toys, aluminum alloys for aircraft, and grains for cereals. These materials offer few opportunities for entrepreneurs, yet there are thousands of sub-assemblies and components essential for manufacturing that *do* offer opportunities.

Direct Materials.

- Consider a product with very simple materials, such as a textbook.
- The printing company that actually creates the book must have huge rolls of paper, cover materials, special inks, materials for printing plates, and various art materials used directly in the production of the text and cover.
- Over the years there have been hundreds of innovations in papers, treatments, inks and coloring agents, photographic processes, binding materials, glues, and art materials.

Direct Materials

- When technologies are in rapid change - whether in printing or space robotics opportunities rise exponentially.
- For example, after the *Challenger* disaster, NASA decided that space work would eventually have to be done with robots. Bids went out for designs, and one of the winners was an entrepreneurial venture with four creative partners in their early 30s.
- The company, called Honeybee, developed a Flight Telerobotic Servicer (FIS) that looks like the *Star Wars* C-3PO. It works much the same way, without the movie fantasy features, and is designed for construction work on the space station *Freedom,* a NASA project slated for the late 1990s.
- The Honeybee FTS project will require more than 400 new parts and assemblies, and only half of these have been developed since the FTS was designed. A majority of those have come from other entrepreneurs and small research companies.

Direct Materials

- Selling to industrial markets is at once an art form and a technical specialty. Sales representatives cannot approach a purchasing manager armed only with enthusiasm. They have to be extremely well informed about the technical attributes of their materials, their competitors' materials, and state-of-the-art technology.

- Many sales representatives come from engineering disciplines and train for marketing roles. Promotional activities are more attuned to technical specifications than to emotional ploys. Attractive brochures and technical manuals are common sales tools, and advertising is positioned in trade magazines. Entrepreneurs must have excellent distribution systems to assure on-time deliveries of high-quality materials.

Indirect Materials.

- Supplies used in manufacturing and "process" materials used in conversion methods to create products constitute *indirect materials*.
- Book publishers, for example, need editing pencils, art pens, camera film, ink filters, imprinting materials, and similar supplies. Since these are consumed in actual production processes, they are classified as "materials" rather than "overhead," and purchasing managers make decisions about indirect materials similar to those for direct materials. Vendors also follow similar guidelines in selling these items.
- Entrepreneurs are less likely to have opportunities in indirect materials because, like consumer commodities, indirect materials have many substitutes, low margins, and well-established vendors.
- Entrepreneurs make significant strides in institutional markets when they can address growth markets.

Capital Assets.

- Usually, *capital assets* are not procured in the same manner as materials. Equipment purchases typically require capital budgeting, executive involvement, and intricate contracts between vendors and buyers.

- Major equipment includes production machinery, inventory-handling equipment, telecommunications equipment, computers and similar assets.

- Industrial marketing requires extensive technical capabilities, often team efforts by vendors, and months of negotiation.

- Major equipment purchases seldom end with the consummation of a sale. Instead, they include an ongoing commitment for installation, technical assistance, warranty programs, and equipment updates and modifications.

Capital Assets.

- Although major equipment is seldom offered by start-up ventures, there are outstanding examples- of enterprises that succeeded because they fought to establish industrial markets. Digital Equipment Corporation, MCI, Sun Systems, Lotus Development Corporation, and Microsoft Corporation are just a few that began small but grew rapidly by concentrating on institutional sales.

- There is a more lucrative niche for entrepreneurial firms in *accessory equipment*. Accessories are capital assets, but this category includes smaller - ticket items such as small electrical tools, drafting tables, engineering instruments, computer peripheral equipment, and so on. This list can be quite extensive, and there are always new products coming to market that enhance productivity.

Capital Assets.

- Training officers, for example, have progressed from school - type blackboards to graphic displays to video training aids to interactive simulation systems. Someone had to create these innovations and then convince institutional buyers of their benefits.

- Institutional marketing involves well - placed advertisements in publications that are frequently read by managers and purchasing officers, presentations and demonstrations by technical experts, and a strong service - support profile by the venture.

Contracted Services

- A broad range of professional consulting activities are *contracted services*, including engineering design work, marketing research, advertising, management systems consulting, legal services, accounting, and labor relations services.
- There are many opportunities to carve out niches through service contracts, and industrial firms often make use of contracted services rather than full-time departments. Janitorial services, constitute one of the fastest growing service industries in Ghana with significant growth in corporate accounts.
- Industrial facilities and commercial buildings are also maintained through contracted landscape and lawn service firms.
- Software development is an enormous field, and corporations spend an estimated $60 billion annually on educational programs and training.

Contracted Services

- The marketing effort required for services is substantially the same as for direct materials or capital assets. Purchasing managers may be involved in buying these services, but usually corporate executives will make a collective decision.
- Entrepreneurs must have solid promotional programs to supplement personal presentations. The reputation of the entrepreneur and his or her firm will often weigh more than the perceived intrinsic value of the service because the entrepreneur is selling "intangibles. “
- Executives will be sensitive to service prices because it is difficult to measure the value of results or to compare the exchange value of money for services.

Contracted Services

- Most corporate buyers, however, will have a good idea of market prices. Consequently, there are major players in service fields who can demand "luxury prices," and corporate executives who want those services do not question price.
- Major public accounting firms, for instance, have differentiated their services to the extent that price is a minor issue.
- Well known advertising agencies, media specialists, safety experts, quality control firms, and labor relations interventionists have become the "BMWs" of institutional contract services.

MRO Products

- Maintenance, repair, and operating (MRO) supplies constitute a significant market. These products include light bulbs, paper towels, toilet paper, computerized billing forms, and hundreds of similar items.
- These are *vital* supplies that no company can do without. A temporary shortage of pencils might not stop work, but the firm that runs out of toilet paper is asking for a riot.
- Production can stop when a company lacks essential supplies. For example, a company that manufactures wooden desks requires a significant amount of sandpaper, cleaning solvents, and rags. If the firm runs out of any of these items, the entire assembly process can shut down.

MRO Products

- Most MRO products are commodities in the sense of having many substitutes; and there are usually many suppliers competing for limited sales.
- Purchasing managers will spend little time selecting items or negotiating prices, but instead, they will put a premium on convenience and hassle free purchasing.
- They do not want to be bothered by purchasing decisions, but they also do not want to risk running out of toilet paper.
- Frequently, MRO purchases are based on standing orders, such as monthly supplies of rags and uniforms, delivered at regular intervals. Landing these contracts can be lucrative, especially if a venture can establish a reputation for reliable service.

Other Product Considerations

- Classification and market niche of products will determine *packaging* and *labeling* requirements.
- Often packaging is more critical and expensive than the product itself, and depending on the intended customer, product labeling can be extremely detailed.
- Packaging consumer goods, for instance, establishes brand awareness and product image. Laundry detergents are differentiated visually by their packages and canned soups by their color schemes.

Other Product Considerations

- Consumer labels provide distinctive names and brand identification. Packaging and labeling must also comply with Ghana Standard Board regulations, safety codes established by the Consumer Product Safety Commission, and specific packaging methods and information disclosure for hazardous materials, foods, medications, and protection against tampering.
- Methods of distribution will also affect packaging and labeling. Individual light bulbs packaged for retail sales will have brightly colored protective containers with one to four bulbs to a pack, and packaging is often more costly than the products.
- The same light bulbs sold as MRO products may be bulk packed in dozens and boxed by the gross. These containers will have minimum product information, simple labels, and protective but colorless boxes. Usually bulk packaging is relatively inexpensive compared with retail packaging requirements.

DISTRIBUTION

- If entrepreneurs have defined their products and services clearly, and if they have identified their target customers well, their methods of distribution should be equally clear.
- A luxury consumer item intended for specialty markets and high-income consumers will not be offered through a discount channel; Cartier jewelry does not go on sale.
- Shopping products that compete on price will have to be placed in stores or catalogs that can attract appropriate customers. Commodities vie for high visualization, such as retail shelf space or low-cost mass markets.
- Consequently, entrepreneurs must select channels of distribution that reflect the appropriate quality and image of their products or services.

Promotion

- The role of **promotion** is to facilitate exchanges between organizations and their customers.
- Commercial enterprises are concerned with attracting customers;
- Professional services are concerned with informing clients about their services; and
- Not-for-profit organizations must let their constituents know what they do.
- Different types of enterprises will have distinct promotional mixes utilizing a variety of promotional methods.

Advertising

- **Advertising** is a form of impersonal broadcasting through commercial mass media.
- The pervasive type of promotion is advertising because it is the one form that punctuates our daily lives.
- Advertising is like a shotgun blast aimed at a flock of geese; there is no guarantee you will hit anything, but if you fire enough shots, you will certainly get their attention.

The Promotional Mix

- A **promotional mix** is the result of a conscious effort to select promotional methods that reinforce a marketing strategy.
- Advertising alone will not attract long lines of customers.
- Sales promotions alone will not communicate to customers who you are and what you have to sell.
- Publicity can be important but irregular, and it will not sufficiently inform the public about your enterprise, your products, or your services.
- Personal selling clearly focuses on the intensity of human effort and links buyers and sellers, but salespersons cannot fashion sales from thin air; they need support systems or other promotional means to prospect for customers and to reinforce the image of the firm they represent.